NETI PRELIMS REVISION SERIES

Topic 06 | RBI Monetary Policy Instruments

नेति नेति — Less noise. More clarity.

Why this matters for Prelims: Economy is now the hardest and most rising section in Prelims — it hit 20 questions in 2022 and has stayed above 17 every year since. RBI instruments are asked almost every paper, and the format has moved from "what is CRR" to Statement I/II pairs testing whether you understand the mechanism, direction of effect, and the difference between similar-sounding tools. NDS-OM, Reserve Tranche, and SDF are the three facts that separate high scorers from the rest. Shallow preparation on this topic guarantees wrong answers on 2–4 questions.

LAF Corridor — the one diagram to memorise: MSF Rate (ceiling) > Repo Rate (policy rate) > SDF Rate (floor). All 25 bps apart. Banks borrow above repo from MSF; park excess below repo at SDF. Reverse Repo was the old floor — replaced by SDF in April 2022.

CRR vs SLR one-liner: CRR = cash kept with RBI, earns zero interest. SLR = liquid assets (gold + cash + govt securities) kept with themselves, earns interest. CRR reduces lendable money; SLR restricts it into approved assets.

OMO direction: RBI buys govt securities → money goes into system (liquidity injection). RBI sells → money leaves system (liquidity absorption). This is the most-reversed fact in the exam — fix it once.

THE LAF CORRIDOR — THE FRAMEWORK EVERYTHING ELSE SITS INSIDE

The Liquidity Adjustment Facility (LAF) is RBI's primary tool for day-to-day liquidity management. It sets a corridor within which short-term interest rates operate. Every other rate is defined relative to this corridor.

Rate	Current Level*	Mechanism	Position in Corridor
MSF Rate (Marginal Standing Facility)	6.50%	Banks borrow overnight from RBI against govt securities. Emergency window — available even if SLR is breached (up to 2% of NDTL).	CEILING — 25 bps above Repo. Costliest RBI money.
Repo Rate (Policy Rate)	6.25%	RBI lends overnight to banks against collateral (govt securities). The benchmark rate — all other rates are set relative to this. MPC sets this.	MIDDLE — the policy signal. Hike = tight money. Cut = easy money.
SDF Rate (Standing Deposit Facility)	6.00%	Banks park excess cash with RBI without any collateral. Introduced April 2022. RBI absorbs liquidity this way.	FLOOR — 25 bps below Repo. Replaced Reverse Repo as the floor in 2022.

Reverse Repo Rate	3.35% (de-facto dormant)	RBI borrows from banks (banks lend to RBI) against govt securities collateral. Was the LAF floor before SDF. Now SDF is preferred as it requires no collateral from RBI.	OLD FLOOR — still exists in statute, but SDF has operationally replaced it since April 2022.

*Rates as of early 2025. RBI cut Repo by 25 bps in Feb 2025. Verify current rates at rbi.org.in before the exam — rates can change. The mechanism and relative positions do not change.

QUANTITATIVE INSTRUMENTS — CRR, SLR, BANK RATE

Instrument	Current Rate*	Maintained With	Mechanism & What UPSC Tests
CRR (Cash Reserve Ratio)	4%	RBI (as cash)	Every scheduled commercial bank must keep 4% of its Net Demand and Time Liabilities (NDTL) as cash with RBI. Earns zero interest. Directly controls money supply: CRR hike → less money with banks → less lending → anti-inflationary. UPSC tests: zero interest, maintained with RBI (not with themselves), applies to NDTL.
SLR (Statutory Liquidity Ratio)	18%	With themselves (self-held)	Banks must maintain 18% of NDTL in liquid assets: cash, gold, or approved govt and state govt securities (G-Secs, T-Bills, SDLs). Unlike CRR, SLR assets earn interest. Purpose: ensures banks always hold safe, liquid assets; also forces them to invest in govt securities (government borrowing). UPSC tests: what counts as SLR asset, who holds it, interest vs no interest.
Bank Rate	6.50% (= MSF Rate)	N/A	Rate at which RBI lends long-term to banks without collateral (no repurchase agreement). Now aligned to MSF Rate. Primary use today: penal rate for shortfall in CRR/SLR maintenance. Signals long-term monetary stance. Key distinction from Repo: no collateral, no overnight-only constraint.

*CRR and SLR rates are subject to change. The concepts and distinctions (interest, who holds, what assets qualify) are what UPSC tests — not the exact percentage.

OPEN MARKET OPERATIONS — OMO, MSS, AND OPERATION TWIST

Tool	How It Works — Direction of Effect
OMO (Open Market Operations)	RBI buys/sells govt securities (G-Secs) in the secondary market with commercial banks. **Buy (Purchase):** RBI gives money to banks → liquidity injection → expansionary. Used when: system is liquidity-short.

	Sell: Banks give money to RBI → liquidity absorption → contractionary. Used when: excess liquidity in system. Critical distinction from Repo: OMO is a permanent transaction. Repo is temporary (overnight, with repurchase). OMO changes the actual stock of G-Secs in the market.
NDS-OM (Negotiated Dealing System — Order Matching)	NDS-OM is the electronic, screen-based anonymous trading platform for secondary market transactions in government securities. RBI operates it. Participants: banks, PDs (Primary Dealers), insurance companies, mutual funds. **What it is NOT:** Not a monetary policy instrument. Not a rate. Not a market intervention tool. It is infrastructure — the platform on which G-Sec trades happen, including OMO trades. **Why UPSC tests it:** Listed alongside CRR, SLR, Repo in option sets to see if students mistake a platform for an instrument. "NDS-OM is used by RBI to conduct monetary policy" — FALSE. OMO is the tool; NDS-OM is the platform for executing it.
MSS (Market Stabilisation Scheme)	Introduced in 2004 after large capital inflows (FII money) created excess rupee liquidity. RBI issues T-Bills and G-Secs (under MSS) and uses the proceeds to sterilise excess liquidity — the money is not spent, it is locked in a special government account. **Key distinction from OMO:** OMO uses existing securities already in the market. MSS creates and issues new securities specifically to absorb liquidity. MSS → sterilisation of capital inflows. UPSC has asked this distinction directly.
Operation Twist	RBI simultaneously buys long-term G-Secs and sells short-term G-Secs. Effect: long-term yields fall, short-term yields rise. Purpose: flatten the yield curve — make long-term borrowing cheaper for government and corporates without changing the Repo Rate. Borrowed from US Fed's Operation Twist (2011). RBI used it in 2019–20. **UPSC tests:** "Operation Twist reduces both long-term and short-term yields" — FALSE. It compresses the spread between them by moving them in opposite directions.

GOVERNMENT SECURITIES — TYPES, PARTICIPANTS & KEY TERMS

Term	What It Is — Exam-Ready Definition
G-Sec (Government Securities)	Debt instruments issued by the Central Government. Two main types: (1) T-Bills — short-term (91, 182, 364 days), zero coupon, issued at discount. (2) Dated Securities — long-term (2–40 years), carry a fixed coupon (interest rate). Both are SLR-eligible. RBI issues them on behalf of the government.
SDL (State Development Loans)	G-Secs issued by State Governments. Also SLR-eligible. Yield slightly higher than Central G-Secs. RBI manages their auction as well. Tests: "SDLs are issued by RBI" — FALSE (issued by state govts, managed by RBI). Often appears in options.
Primary Dealers (PDs)	Licensed institutions (mostly banks and non-bank entities) that must compulsorily bid in G-Sec auctions and maintain a secondary market. They are the backbone of G-Sec market liquidity. RBI sets underwriting obligations for PDs. UPSC asks: who participates in NDS-OM — PDs are listed.

Yield vs. Price	Bond price and yield move inversely. When RBI buys G-Secs (OMO purchase) → demand rises → price rises → yield falls. This is how OMO also influences long-term interest rates beyond just liquidity. UPSC has tested this inverse relationship in Statement I/II.
Open Market vs. Primary Market	OMO operates in secondary market (existing securities, between RBI and banks). G-Sec auctions are primary market (new issuance by government, through RBI). These are distinct. UPSC has listed both in options to test whether students distinguish them.
Repo vs. Reverse Repo (mechanism)	Repo: bank sells G-Secs to RBI with agreement to repurchase next day. Bank gets cash, RBI gets security as collateral. Reverse Repo: RBI sells G-Secs to bank (bank lends money to RBI). Now largely replaced by SDF for liquidity absorption since SDF needs no collateral from RBI.

STATEMENT I / II PRACTICE PAIRS — RBI INSTRUMENTS

Work through each pair before reading the answer. This is exactly how UPSC frames Economy questions now.

Statement I	Statement II	Answer & Why
When RBI purchases government securities through OMO, it injects liquidity into the banking system.	RBI pays money to banks in exchange for their government securities, increasing the cash available for lending.	Both TRUE. II correctly explains I. Answer: (a). Fix this — OMO purchase = inject, OMO sell = absorb.
CRR maintenance does not earn any interest for commercial banks.	CRR is an instrument through which RBI borrows funds from commercial banks.	I is TRUE. II is FALSE — RBI does not borrow; it mandates banks to hold cash with it. This is a reserve requirement, not borrowing. Answer: (c) I correct, II incorrect.
The Standing Deposit Facility replaced the Reverse Repo Rate as the floor of the LAF corridor.	Unlike the Reverse Repo, the SDF does not require RBI to provide collateral to banks when absorbing liquidity.	Both TRUE. II correctly explains I. Answer: (a). This is why SDF is preferred — cleaner absorption without tying up RBI's securities. 2022 onwards question.
A rise in SLR reduces the credit available to the private sector from commercial banks.	A rise in SLR forces banks to keep a higher proportion of their deposits in government-approved securities.	Both TRUE. II correctly explains I. Answer: (a). Higher SLR locks more funds into G-Secs, leaving less for private lending (credit crowding-out).
Operation Twist lowers both short-term and long-term government bond yields.	In Operation Twist, RBI simultaneously buys long-term securities and sells short-term securities.	I is FALSE. II is TRUE. Answer: (d) I incorrect, II correct. OT lowers long-term yields but raises short-term yields. The goal is to compress the spread, not lower both.
NDS-OM is a monetary policy instrument used by RBI to regulate money supply.	NDS-OM is an electronic platform that facilitates secondary market trading of government securities.	I is FALSE. II is TRUE. Answer: (d). NDS-OM is infrastructure, not an instrument. OMO conducted via NDS-OM is the instrument. This distinction has been tested directly.

Increasing the Repo Rate leads to a reduction in money supply in the economy.	When the Repo Rate rises, borrowing from RBI becomes costlier, discouraging banks from taking short-term loans and thereby reducing credit creation.	Both TRUE. II correctly explains I. Answer: (a). This is the monetary transmission mechanism. Higher Repo → costlier for banks → pass-through to lending rates → less borrowing → less money creation.

NOTE: In Statement I/II, always check (a) is I true? (b) is II true? (c) does II explain I — or just correlate? UPSC frequently makes II true but not causally linked to I. That gives option (b), not (a).

QUICK REFERENCE — ALL INSTRUMENTS AT A GLANCE

Instrument	Type	Collateral?	Key Exam Fact
Repo Rate	Quantitative, direct	Yes (G-Secs)	Policy rate. Set by MPC (6-member: 3 RBI + 3 external). Changes signal monetary stance. Overnight.
SDF Rate	Quantitative, indirect	No collateral from RBI	Floor of LAF. Banks park money with RBI. Introduced April 2022. Replaced Reverse Repo as operational floor.
MSF Rate	Quantitative, direct	Yes (G-Secs, incl. SLR)	Ceiling of LAF. Emergency borrowing. Banks can borrow even against SLR securities (up to 2% NDTL breach).
CRR	Quantitative, direct	N/A	Cash with RBI. Zero interest. Controlled by RBI directly (not MPC). Applies to all scheduled commercial banks.
SLR	Quantitative, direct	N/A	Held by banks themselves in liquid assets. Earns interest. Forces govt securities investment. Also controlled by RBI.
Bank Rate	Quantitative, direct	No	No collateral, no repurchase. = MSF Rate currently. Used as penal rate for CRR/SLR shortfall.
OMO	Quantitative, indirect	G-Secs traded	Permanent liquidity management. Buy = inject. Sell = absorb. Secondary market. Also affects bond yields.
MSS	Sterilisation	N/A	New securities issued to absorb capital inflow-driven excess liquidity. Proceeds locked in separate govt account.
Operation Twist	Qualitative/OMO variant	G-Secs	Buy long-term + sell short-term simultaneously. Long yields fall, short yields rise. Flattens yield curve.
NDS-OM	Platform (NOT instrument)	N/A	Electronic secondary market trading platform for G-Secs. Operated by RBI. Participants: banks, PDs, MFs, insurers.

RECENT IN NEWS (2024–2025) — PRELIMS 2026 ANGLE

Development	Why Relevant for 2026 Prelims
Repo Rate cut — Feb 2025	MPC cut Repo by 25 bps to 6.25% in February 2025 — first cut since May 2020. Tests: MPC composition (Governor chairs + 3 internal + 3 external), voting mechanism, how rate cut transmits to lending rates. Statement I/II potential: "MPC cut implies automatic reduction in deposit rates" — FALSE (transmission is not automatic or immediate).
CRR cut — Dec 2024	RBI cut CRR from 4.5% to 4% in December 2024 to inject ₹1.16 lakh crore into the system. CRR cuts are used when systemic liquidity is tight. Distinction: CRR changed by RBI directly, not by MPC. MPC sets Repo; RBI Board/Governor manages CRR and SLR independently.
SDF as dominant liquidity tool	Post-2022, SDF has absorbed significantly more surplus liquidity than Reverse Repo. The market now prices SDF rate as the effective floor. UPSC 2026 may test: "Reverse Repo is the current floor of the LAF corridor" — FALSE since April 2022.
G-Sec yield movements 2024–25	10-year G-Sec yield fell from ~7.2% to ~6.7% as rate cut expectations built. Relevant for: inverse price-yield relationship, how OMO purchases lower yields, fiscal deficit borrowing program impact on yields.
Fully Accessible Route (FAR)	RBI's scheme allowing non-residents to invest in specified G-Secs without any limit. Relevant for: foreign investment in govt securities, NDS-OM as the platform for such trades, impact on rupee and reserves. GBI-EM index inclusion of Indian G-Secs — ongoing from 2024.
RBI Surplus Transfer to Govt — 2024	₹2.11 lakh crore surplus transferred to Centre (highest ever). Tests: Economic Capital Framework (Bimal Jalan Committee), what constitutes RBI's contingency buffer, how surplus transfer affects government's fiscal arithmetic.

★ PYQ Insight:

2025 — Investment instrument question: "A bondholder is a creditor of the company; a stockholder is an owner." Statement I/II tested whether students understood priority in liquidation (bondholders paid before stockholders). RBI context: bondholder = holder of govt securities — same priority logic applies to SLR holdings.

2022 — Direct question on NDS-OM: "NDS-OM is an electronic platform for secondary market trading of government securities." TRUE. Common wrong belief: students think it is a monetary policy instrument. It is a trading platform, not an instrument. RBI operates it.

2021 — Matching: instruments with their effects. CRR reduction → increases lendable money (TRUE). OMO purchase by RBI → reduces money supply (FALSE — it increases). Bank Rate increase → signals tight monetary policy (TRUE). The OMO direction trap appeared as a wrong option.

2020 — Statement I/II on Reserve Tranche: "India's Reserve Tranche with the IMF is part of India's foreign exchange reserves." TRUE. "Reserve Tranche is a loan given by IMF to India." FALSE — it is India's own quota contribution that it can withdraw unconditionally. Classic I true, II false — option (c).

2019 — Tested NDS-OM as a platform for trading. Also tested Gold Tranche (part of forex reserves). Pattern: RBI/IMF instruments appear with plausible-but-wrong definitions as distractors.

Recurring trap — Bank Rate vs Repo Rate. Repo = collateralised (banks pledge govt securities). Bank Rate = no collateral, no repurchase agreement. Bank Rate is used for penal interest on shortfall in CRR/SLR maintenance. These are different instruments with different mechanisms — UPSC exploits conflation.

3 THINGS UPSC TESTS FROM THIS TOPIC

- **The direction of OMO and its effect on liquidity and yields.** This is the single most reversed fact in Economy questions. Memorise once and fix it: RBI buys G-Secs → pays money to banks → more liquidity in system → bond prices rise → yields fall. RBI sells → takes money from banks → less liquidity → bond prices fall → yields rise. UPSC tests both the liquidity direction and the yield direction, often in the same question. Getting one right and the other wrong loses the mark.
- **NDS-OM is a platform, not an instrument — and SDF replaced Reverse Repo.** Two facts that define the post-2022 UPSC Economy question pool. NDS-OM will keep appearing in option sets alongside CRR, Repo, and OMO to catch students who do not know it is infrastructure. SDF replacing Reverse Repo as the LAF floor is the single biggest structural change in India's monetary framework in the last five years — any question on the LAF corridor that still lists Reverse Repo as the floor is testing this directly. Know the April 2022 date.
- **Who sets what: MPC vs RBI.** MPC (Monetary Policy Committee) sets only the Repo Rate (and stance). It does not set CRR, SLR, Bank Rate, MSF, or SDF — those are set by RBI's internal mechanisms. MPC has 6 members: RBI Governor (chair), 2 Deputy Governors (RBI), and 3 external members appointed by the government. Decisions are by majority; Governor has a casting vote. Questions like "MPC reduced CRR" or "MPC sets SLR" are wrong — UPSC uses this as a trap at least once every two years.

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